

coherent strategy. While companies like Infosys and Wipro decided to let go of many employees who were said to have indulged in the practice, other firms like TCS and Tech Mahindra have publicly noted that they are working on policies to embrace the practice.

NEW RECRUITS DISTRAUGHT

Then there is the issue of delays in on-boarding recruits. For instance, Rohan Singh (name changed), the son of a daily labourer, was overjoyed when he got job offers from three multinationals—Wipro, Infosys and Capgemini in January 2022. Singh thought he would be able to pay back his education loan and could finally give his parents a comfortable life. But he's still waiting for a joining date and has no source of income, he tells *BT*.

76 | Singh isn't an exception. Per estimates by IT employees' asso-

ciation NITES, around 30,000 IT professionals have been impacted by the delay in joining dates.

Former HCL Technologies CEO Nayar notes that this delay was caused by a misjudgement of demand by the IT companies. Siva Prasad Nanduri, Chief Business Officer of TeamLease Digital, says that a major chunk of these offers were rolled out when the IT sector was booming in late 2021. "But 2022 rang in a war, inflation, and a wider economic slowdown, impacting the West worse than other places. Since a major chunk of business IT companies get is from the West, there is delay in the process of on-boarding new recruits," he says.

Most companies such as TCS, Infosys and Wipro, among others that *BT* reached out to on this issue, got back saying they were allocating dates of joining based on their business requirements.

THE WAY FORWARD

How can the Indian IT sector, the biggest avenue of white-collar jobs in India, fix its human resources challenge?

"There is an argument to be made for looking after your people well. Looking after your people includes all your people, not just the top ones," says former Nasscom president Karnik. For him and many other experts, a way forward could be by offering better employment terms to those who come under the lower band of the salary structure. Nayar agrees. "If you were to spend a part of your budget in encouraging and enabling your employees, you will get 10x higher returns." Pai, too, is of the same view. "They must pay their fresher employees more," he says.

The other solution seems to be in building a coherent company culture. While CEOs are focussed on new products, new pricing and new strategies, they should also focus on cultural transformation and its execution, says Nayar. "When CEOs start focussing on cultural transformation, you would see that the strategies that you have, even if they are average strategies, would result in significant amount of gains in market share, profit margins as well as market cap," he explains.

For Pai, the real answer lies in soul-searching. "This is an industry that [used to] put people first, which took care of everybody. Over the last 10 years, the idea of looking out for the people at the bottom of the pyramid has gone. The human spirit is what made these companies great. This industry was built with great human culture; if they diverge from that, they would turn into mercenary organisations," he says. **BT**



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T.V. MOHANDAS PAI
FORMER CFO AND
BOARD MEMBER, INFOSYS

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